

How the Yield Curve Predicts Recessions

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Introduction

A yield curve is a line graph that shows the relationship between interest rates (or yields) and time to maturity for debt securities. The chart is most commonly used for the US treasury bills and bonds and can be used as a predictive tool for the economy. When the environment of the economy is healthy, the curve typically slopes upward due to the increased risk with long-term lending. However, when the curve inverts or shows a downward trend, this means that interest rates are greater for short-term investing over long-term. This represents a shift in market expectations and monetary policy outlooks, giving investors less enthusiasm about long-term lending (Wessel & Ng, 2022). This paper will dive into examples of when the yield curve has acted as a predictor for recessions in the history of the United States economy and determine why the yield curve has the ability to act as this predictor. This topic is extremely important as of May 2026 due to the potential of a recession based on the yield curve. For it is not only the inversion that predicts a recession but more so the shift back or steepening of the yield curve that is typically followed by the recession. As to whom this affects, this list could include everyone. However, those who are most affected by a potential recession based on the yield curve would be commercial banks and lenders, corporations, and consumers. The remaining sections of this paper will cover key concepts revolving around the yield curve and topics that were covered in class. We will also discuss the theoretical framework that gives the yield curve the ability to be a tool to help predict recessions. Lastly, we will analyze and provide historical evidence to the yield curve acting as a predictor on top of providing recommendations.

Background and Theory

There are several theories that help explain the shape of the yield curve. The three most predominant theories are the unbiased expectations theory, liquidity premium theory, and the

market segmentation theory. The unbiased expectations theory states that the yield curve reflects the market's current expectations of future short-term rates. So, if the market were to be in equilibrium, the return on a 4-year bond would be the same as the expected return for investing in four successive 1-year bonds. The liquidity premium theory accounts for the risk involved with long-term investments. The longer the maturity equals the greater the liquidity and market risks. Investors will only invest in long-term bonds if there is a premium that counters this enhanced risk and the premium must increase as maturity increases. Lastly, the market segmentation theory states that the yield curve is determined based on the supply and demand of different securities. This breaks the demand for securities down into different segments based on maturity (long, short, and medium term) and the demand for these securities determines the yield curve (Parsa, 2026). These theories help explain why an inversion in the yield curve is not just a statistical anomaly and the reasons behind an inversion can show why a recession can be predicted based on the insights made from these theories. Based on research already conducted by members of the Federal Reserve Bank of Chicago, they found that a decline in the yield curve slope driven by expectations of monetary policy easing is a statistically significant signal of a future recession within the next year. This directly relates back to the unbiased expectations theory. If the yield curve is inverted, based on the unbiased expectations theory, that means that short-term interest rates in the future will be significantly less than what they are today. When interest rates lower, they are typically accompanied by a recession. Additionally, in the article, the authors address how risk factors influence the curve, which ties back to the liquidity premiums theory. More specifically, the article discusses that a decrease in the inflation risk premium has historically heightened recession risks, whereas changes in the real-rate risk premium provide different economic signals (Benzoni et al., 2018).

Analysis

To analyze the applicability of the theories to how the yield curve predicts recession, a great period to analyze is the Great Recession of 2008. Shown below is a chart of the yield curve between January of 2005 and January of 2012:



As shown in the chart, there is an inversion at the beginning of 2005 that begins to flatten going into 2007. This inversion is a predictor of what is about to occur. As the curve begins to slope and steepen back upwards, this is typically the beginning of the recession (Federal Reserve Bank of St. Louis, 2026). Now time to apply theory as to why this occurs.

- The unbiased expectations theory predicted that the short term interest rates that occurred in 2005 were unsustainable and would soon have to be cut. Due to this, many settled for long-term rates because they knew that future short-term rates would have to be cut by the FED.
- The liquidity premiums theory shows the psychological shift towards safety in the time of uncertainty. As stated earlier, in a healthy economy, people expect premiums for the

additional risks included with more maturity. However, during this time, many settled for lower long-term rates since the lack of liquidity premiums signaled that rates would decrease shortly. Many would have rather preserved capital rather than make future riskier investments.

- Lastly, the market segmentation theory explains the forces that drove the curve to flatten and eventually "un-invert" towards the beginning of the recession. As already explained using the previous two theories, the demand for long-term investments heavily outweighed short-term due to the lack of stability in future short-term rates. However, the supply and demand relationship shifted rapidly when the recession occurred, due to a large increase in the supply of long-term securities raised by the government issuing massive amounts of long-term debt to fund stimulus packages.

Ultimately, analysis of the yield curve between the years 2005 to 2010 shows that recession is not predicted by a single, isolated factor, but by varying aspects that cause shifts in the market. This is why the yield curve is able to predict recessions, because the yield curve is shifted by several market factors as stated in the various theories provided. Those same market factors that shift the yield curve typically point at the potential of a recession (Mishkin & Eakins, 2022).

Discussion

The implications of research done on this topic is that the predictive power of the yield is a highly useful tool and resource for investors, lenders, and commercial banks to use in order to determine the future environment of the market. Those who neglect using this as a resource may overlook obvious market shifts that are predicted by the yield curve. The implications for investors, issuers, or financial institutions is that a flattening or inverted yield curve is a warning and threat to investments and lending for many. These recessions that are predicted by the yield

curve have a negative effect on interest earned by financial institutions. This ultimately leads to less profit margin and less lending power. This leads to less people being able to receive loans, making the market less active.

The Federal Reserve also plays a significant role in the response to the yield curve. The curve can act as a monetary policy measuring stick that shows how successful or flawed the monetary policies of the Federal Reserve are. The way the Federal Reserve responds to such issues can lead to either “soft landings”, where the Federal Reserve responded appropriately mitigating the negative effects of the recession, or “hard landings” where the appropriate responses weren’t made leading to a more dramatic recession.

Issues with using the yield curve as a predictor for recessions typically comes with the time aspect. While inversion can often guarantee a future recession, when that recession may occur is not certain. The best example of this is the past three years. After an inversion during 2023 and 2024, the economy continued to do well in 2025 despite all signs saying that there should be a recession. Now, it is hard to say whether there will be a recession and when it will occur.

Conclusion

To conclude, the yield curve remains one of the most statistically significant leading indicators and predictors of economic activity within the United States. By analyzing the Great Recession of 2008, it is evident that the curve’s predictive power is not a result of a single anomaly, but rather the synchronization of several theories that lead to shifts in the yield curve. These theories show that an inversion is a collective market signal, pricing in future interest rate cuts by the Federal Reserve and reflecting a widespread flight to safety among institutional investors. Key findings suggest that while the timing between an inversion and a recession can

vary, as seen in the resilient economy of 2025, the eventual "un-inversion" or steepening of the curve historically marks the onset of economic contraction.

The main argument of this paper is that the yield curve is an essential tool for understanding and determining the effects of monetary policy. When the curve inverts, the resulting compression of bank profit margins and the subsequent tightening of credit play a physical role in slowing down the economy. Moving forward into the remainder of 2026, we would recommend that investors and financial institutions remain aware of the yield curve during periods of curve normalization. Policymakers should not view the current market resilience as a sign that the yield curve has lost its utility, but rather as a period of extended lag. Ultimately, those who incorporate yield curve analysis into their strategic planning will be better positioned to navigate the shifts between expansion and the inevitable arrival of the next credit cycle.

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